

Aspeed

Growth profile remains robust into 2027; reiterate Buy

Reiterate Rating: BUY | PO: 26,000 TWD | Price: 19,835 TWD

Looming price hike and smoother supply

Aspeed's (see report) [4Q26 revenue guidance](#) in our view should incorporate 20% price hike across the board including AST2700 BMC (priced at ~US\$30 after the hike), mainly reflecting the cost inflation from OSAT (outsourced semiconductor assembly/testing) vendor. Yet with incremental supply secured across foundry, OSAT, substrate and glass cloth, the firm expects a normalized DoI (days of inventory) level of ~12 weeks from 2Q27.

Sustained leadership with value-add in security

Management continues to underscore around 2-year technology lead vs its main competitor in the merchant market, while the adoption of Caliptra 2.2 standard in AST2750 BMC further enhanced its value-add in network security. We deem this a positive to (see report) [eMemory](#) given the share gain in PUF business against its counterpart in US, from which Aspeed adopts Caliptra 1.1 in AST2700 BMC.

Rosy demand growth outlook for 2027

Looking into 2027, Aspeed cites 50-60% growth for BMC applied to GPU and ASIC markets, while there could be 1) an even stronger growth in Agentic AI (artificial intelligence); and 2) 6-10% YoY in general server (w.o. Agentic AI in our view). Given such demand strength, the company may provide an updated version of the BMC TAM (total addressable market) by end-2026.

Flag recent positives from the industry; re-it. Buy

Recently we see positives to server CPU (central processing unit) supply chain from (see reports) [Meta's Muse](#) and [expert call takeaways](#) which cite continuous share gain by ARM-based solutions. Reiterate Buy on Aspeed given its unrivalled position in a structurally growing market.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	2,571	3,928	8,335	14,361	20,793
EPS	61.86	94.47	203.84	345.36	500.03
EPS Change (YoY)	155.3%	52.7%	115.8%	69.4%	44.8%
Consensus EPS (Visible Alpha)			193.90	342.73	481.27
Dividend / Share	47.27	72.73	125.00	190.00	265.00
Free Cash Flow / Share	75.06	101.54	139.54	314.06	463.90
Valuation (Dec)					
P/E	320.62x	209.95x	97.31x	57.43x	39.67x
Dividend Yield	0.238%	0.367%	0.630%	0.958%	1.34%
EV / EBITDA*	256.68x	163.48x	79.28x	45.23x	31.29x
Free Cash Flow Yield*	0.379%	0.512%	0.693%	1.59%	2.34%

* For full definitions of *IQmethod*SM measures, see page 6.

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Equity

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Stock Data

Price	19,835 TWD
Price Objective	26,000 TWD
Date Established	7-Sep-2026
Investment Opinion	C-1-7
52-Week Range	4,445 TWD-21,800 TWD
Mrkt Val / Shares Out (mn)	25,881 USD / 41.5
Market Value (mn)	823,779 TWD
Average Daily Value (mn)	194.67 USD
Free Float	70.7%
BofA Ticker / Exchange	XLKMF / TWD
Bloomberg / Reuters	5274 TT / 5274.TWO
ROE (2026E)	78.7%
Net Dbt to Eqty (Dec-2025A)	-83.2%

GPU - graphic processing unit

ASIC - application specific integrated circuit

BMC - baseboard management controller

PUF - physically unclonable function

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iQprofileSM Aspeed

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	6,460	9,085	18,612	31,864	45,027
Gross Profit	4,154	6,179	13,044	22,184	31,391
Sell General & Admin Expense	(407)	(476)	(1,003)	(1,413)	(1,568)
Operating Profit	2,918	4,660	9,953	17,666	25,550
Net Interest & Other Income	249	195	326	129	232
Associates	0	0	0	0	0
Pretax Income	3,167	4,855	10,279	17,794	25,783
Tax (expense) / Benefit	(596)	(928)	(1,945)	(3,433)	(4,990)
Net Income (Adjusted)	2,571	3,928	8,335	14,361	20,793
Average Fully Diluted Shares Outstanding	42	42	41	42	42

Key Cash Flow Statement Data

Net Income	2,571	3,928	8,335	14,361	20,793
Depreciation & Amortization	256	324	324	349	493
Change in Working Capital	(589)	99	(2,760)	(901)	(954)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	906	145	282	(129)	(232)
Cash Flow from Operations	3,145	4,496	6,180	13,681	20,101
Capital Expenditure	(25)	(274)	(475)	(621)	(810)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	(321)	(121)	(36)	0	0
Cash Flow from Investing	(345)	(395)	(511)	(621)	(810)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(756)	(1,967)	(3,024)	(5,198)	(7,901)
Cash Flow from Financing	(781)	(1,991)	(3,030)	(5,198)	(7,901)
Free Cash Flow	3,120	4,222	5,706	13,060	19,290
Net Debt	(4,011)	(6,298)	(8,953)	(16,811)	(28,199)
Change in Net Debt	(2,048)	(2,129)	(2,652)	(7,862)	(11,389)

Key Balance Sheet Data

Property, Plant & Equipment	355	409	571	891	1,250
Other Non-Current Assets	1,384	1,516	1,469	1,471	1,471
Trade Receivables	1,437	1,606	4,177	5,413	6,592
Cash & Equivalents	4,011	6,298	8,953	16,811	28,199
Other Current Assets	539	504	1,291	1,569	1,919
Total Assets	7,726	10,334	16,461	26,154	39,431
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	204	319	0	0	0
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	1,883	2,444	2,855	3,566	4,095
Total Liabilities	2,087	2,763	2,855	3,566	4,095
Total Equity	5,639	7,571	13,606	22,588	35,336
Total Equity & Liabilities	7,726	10,334	16,461	26,154	39,431

iQmethodSM - Bus Performance*

Return On Capital Employed	50.0%	56.7%	75.8%	79.4%	71.8%
Return On Equity	54.3%	59.5%	78.7%	79.4%	71.8%
Operating Margin	45.2%	51.3%	53.5%	55.4%	56.7%
EBITDA Margin	49.1%	54.9%	55.2%	56.5%	57.8%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.2x	1.1x	0.7x	1.0x	1.0x
Asset Replacement Ratio	0.2x	1.6x	2.0x	1.8x	1.6x
Tax Rate (Reported)	18.8%	19.1%	18.9%	19.3%	19.4%
Net Debt-to-Equity Ratio	-71.1%	-83.2%	-65.8%	-74.4%	-79.8%
Interest Cover	NA	NA	NA	NA	NA

Key Metrics

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Semiconductors

Company Description

Aspeed was founded in 2004 as a fabless company, focusing on the design of baseboard management controller (BMC), which could be used in remote servers. Aspeed has 70+% market share in BMC, while it also offers other products including PC/AV extension IC and digital image processors.

Investment Rationale

We rate Aspeed as Buy, as we anticipate stable growth in the regular server market into 2026-27, along with its growing exposure to AI server market. Outside of server BMC, we also like its increasing traction in new products (mini-BMC, root of trust, etc.) in the server area. Further, we see stronger growth in non-server business led mainly by Cupola 360.

Stock Data

Price to Book Value

60.5x

Price objective basis & risk

Aspeed (XLKMF)

Our DCF-based PO is NT\$26,000, and we believe the valuation is justified by (1) the firm's high market share in the server BMC market, (2) secular growth in overall server market, despite near-term ebbs and flows of orders and shipments, (3) nearly 60% earnings CAGR in 2026-28E, and (4) about NT\$215 net cash/share on hand, we assume WACC of 7% and a terminal growth rate of 3%.

Upside risk to our PO are

(1) stronger-than-expected operating leverage on stronger revenue growth, and (2) faster progress in ramping up non-BMC product lines including Cupola 360.

Downside risks to our PO are

(1) softer server (thus BMC) demand due to macro uncertainties, or pressured by trade conflict
(2) market-share loss in BMC to current/potential competitors such as Nuvoton
(3) customers' market-share loss in ones (such as HP and Dell) to which Aspeed has less exposure.

Analyst Certification

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang

NEUTRAL

	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA

UNDERPERFORM

	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Maxscend	XXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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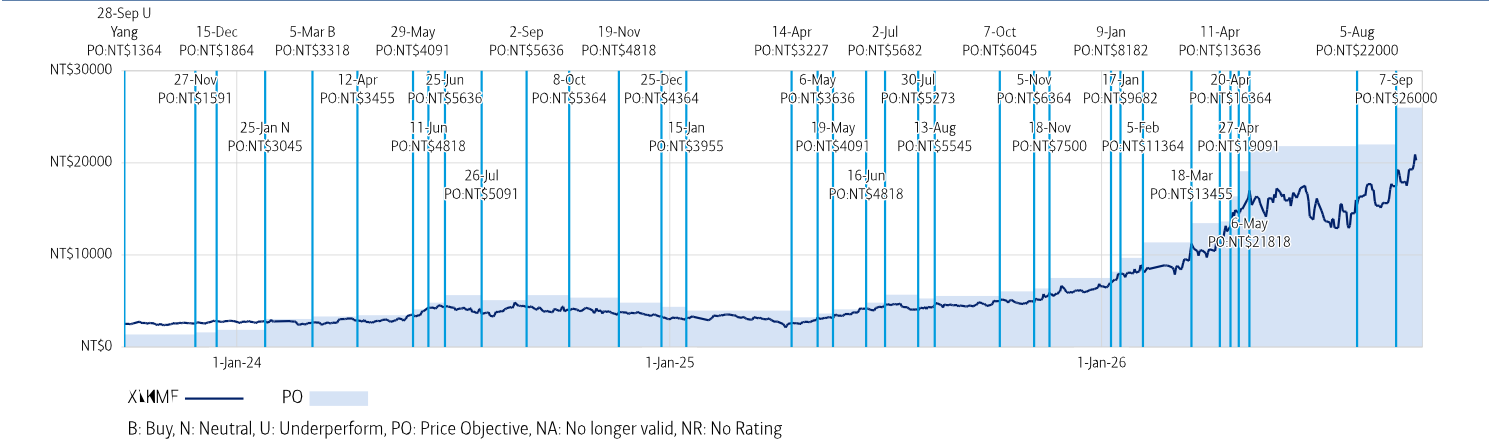
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Aspeed (XLKMF) Price Chart



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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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